

DEAL INTELLIGENCE

Realty Income's \$22.7M Dollar General Buy Shows Net-Lease Capital Is Picking Its Spots

The portfolio sale reveals how institutional buyers are underwriting tenant credit and basis defensibility over yield chasing.

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A source-grounded Light Tower Insight.

The most revealing number in the \$22.7 million sale of an 18-property Dollar General portfolio is not the price. It is the average price per property: roughly \$1.26 million. That figure tells you exactly what kind of capital is buying, what kind of seller is selling, and what the net-lease market is willing to underwrite in mid-2026.

CBRE arranged the transaction, representing both the seller, Miller Bros. Construction, and the buyer, Realty Income. The portfolio spans Pennsylvania and Ohio, totals 174,078 square feet, and was fully occupied by Dollar General at closing. The properties sit in small towns and exurbs: Tioga, Bangor, Fawn Grove, Jersey Shore, Bellefonte, Berrysburg, Greencastle, Schellsburg, Oxford, Milan, Hazle Township, Newburg, Burlington, Beaver Meadows, Amherst, Waynesburg, Lorain, and Vermilion.

This is not a trophy trade. It is a liquidity event for a builder-developer that assembled a portfolio of single-tenant retail boxes and found a buyer willing to pay a price that clears. The market signal is not that net-lease retail is hot. It is that institutional capital is still willing to buy Dollar General at a basis that pencils, provided the tenant credit is intact and the rent coverage is sufficient.

Realty Income is the buyer. That alone tells you the underwriting discipline at work. Realty Income is a net-lease REIT with a cost of capital that demands it buy assets at a going-in cap rate above its weighted average cost of capital. It does not chase yield. It buys cash flow streams it can model with high confidence. Dollar General, rated BBB by S&P, provides that confidence. The tenant is not a startup concept or a regional operator. It is a national discount retailer with thousands of stores, a proven real estate model, and a balance sheet that can survive a consumer slowdown.

The seller, Miller Bros. Construction, is a builder. It developed these stores, leased them to Dollar General, and is now monetizing the equity. The sale is not a distress event. It is a capital recycling move. Miller Bros. took development risk, stabilized the assets, and sold them

to a permanent capital holder. That is the classic net-lease lifecycle: developer builds, operator leases, institutional buyer holds.

What the deal reveals about the capital market is more specific. Net-lease buyers are not indiscriminately buying everything with a corporate guarantee. They are concentrating on assets where the basis is low enough to provide downside protection. At roughly \$130 per square foot, this portfolio trades at a price that leaves room for rent declines, vacancy, or higher interest rates. A buyer paying \$300 per square foot for a single-tenant asset in a primary market has less margin for error. A buyer paying \$130 per square foot in rural Pennsylvania and Ohio has a cushion built into the basis.

The geography matters. These are not growth markets. They are stable, low-cost locations where Dollar General stores generate predictable rent. The tenant has little incentive to vacate because the rent is low relative to the cost of building a new store. The landlord has little risk of replacement because the building is purpose-built for a single tenant with specific requirements. The combination produces a cash flow stream that is as close to a bond as commercial real estate gets.

Realty Income is not buying growth. It is buying duration. The lease terms are likely 10 to 15 years with renewal options. The rent is fixed or escalates at a low contractual rate. The return comes from collecting rent for a long time, not from re-leasing at higher rents. That is a deliberate trade-off. In a market where interest rates remain elevated and cap rates have not fully adjusted, investors are paying for certainty, not optionality.

The deal also shows that the net-lease market is bifurcating. Assets with investment-grade tenants and low basis trade. Assets with weaker tenants, higher basis, or shorter lease terms sit. The bid is not universal. It is selective. Lenders are willing to finance these assets because the tenant credit and the basis make the loan safe. A lender financing a Dollar General store at 60% loan-to-cost on a \$1.26 million purchase price has enormous recovery protection. The same lender financing a single-tenant asset with a B-rated tenant at a higher basis has less.

For owners of net-lease portfolios, the implication is clear. If you own assets with investment-grade tenants and low basis, you can sell. If you own assets with weaker tenants or higher basis, you may need to wait for the market to reprice or find a buyer with a different cost of capital. The bid depth is not uniform.

For developers, the deal confirms that the build-to-suit model still works. Miller Bros. built stores, leased them, and sold them. The spread between development cost and sale price is the profit. That spread depends on construction costs, rent levels, and cap rates. In this case, the spread was sufficient to make the project worthwhile. Developers who can control land costs and construction budgets can still generate returns by selling to institutional capital.

The unanswered question is whether this deal is a comp or an outlier. If other net-lease portfolios with similar tenant credit and basis trade at similar prices, the market has found a clearing level. If this deal is unique because of the specific relationship between Miller Bros. and Realty Income, it tells us less about the broader market. The CBRE team that represented both sides suggests a negotiated transaction rather than a broad auction. That does not make the price unrepresentative, but it does mean the price reflects a specific buyer's underwriting, not the market's consensus.

What the market should test next is whether other institutional buyers are willing to pay similar prices for similar portfolios. If Realty Income was the only bidder at this level, the market is thinner than it appears. If other REITs and private capital funds are also bidding, the market has depth. The next few portfolio trades will answer that question.

For now, the deal is a reminder that net-lease capital is not gone. It is just more discriminating. The assets that trade will be the ones where the tenant credit, the basis, and the lease term align. Everything else will wait.